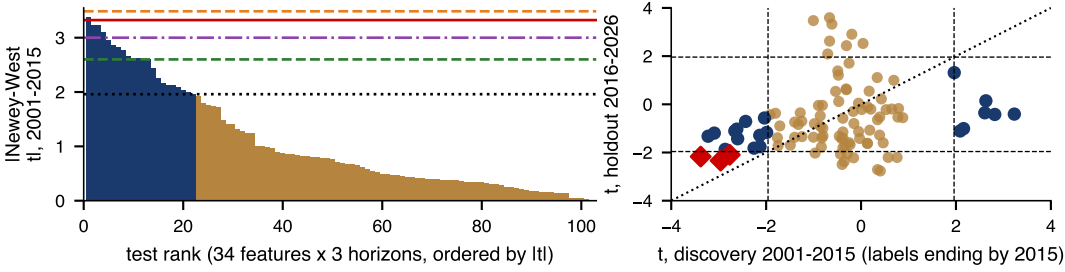
Discovery sample: how many tests survive?
|Newey-West t|, 2001-2015
0
1
2
3
0
20
40
60
80
100
test rank (34 features x 3 horizons, ordered by |t|)
Holdout check
t, holdout 2016-2026
4
2
0
−2
−4
−4
−2
0
2
4
t, discovery 2001-2015 (labels ending by 2015)
|t| = 1.96: 22 of 102 pass
BH, FDR 10%: 13 pass
|t| > 3: 4 pass
shift placebo, 95% of max|t| = 3.32: 1 passes
Holm first step, FWER 5%: |t| > 3.49, none
|t| < 1.96 in discovery
discovery |t| > 1.96, fails in holdout
nominal replication: same sign, |t| > 1.96